

Grasim Industries Ltd (GRASIM)

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Company Overview

Grasim Industries Limited is the flagship company of the Aditya Birla group, it ranks amongst India's largest private sector companies. On standalone basis, GIL's core businesses comprise of viscose Staple fibre (VSF), caustic soda, speciality chemicals, rayon-grade wood pulp (RGWP) with plants at multiple locations. It also has certain other businesses such as fertiliser, textile

Key Financial Ratios Table

Year	NPM %	ROE %	D/E	Interest Coverage	Asset Turnover	FCF (Cr)
2024	7.6%	11.2%	1.55	3.0	0.32	-33833.0
2023	9.4%	14.1%	1.31	4.2	0.35	-26397.0
2022	11.7%	14.8%	0.99	4.6	0.33	5985.0
2021	9.1%	10.7%	1.21	3.5	0.29	7929.0
2020	9.7%	11.7%	1.50	2.5	0.28	5256.0
2019	3.6%	4.7%	1.46	2.4	0.32	-3871.0
2018	6.6%	6.4%	1.17	3.3	0.27	-2594.0
2017	11.8%	13.5%	0.29	12.1	0.57	3779.0
2016	10.0%	12.6%	0.46	10.1	0.58	1353.0
2015	8.1%	11.2%	0.52	8.5	0.59	2235.0

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Qualitative Investment Insights

Strengths (Pros):

- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Risks & Concerns (Cons):

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility